

NASHUA PHOTO

In the summer of 1993, Bob Barton had a lot on his plate. As the new director of new-customer acquisitions for Nashua Photo, the country's largest mail-order photofinishing firm, his immediate task was to plan the firm's promotion activities for the remainder of the year. His long-term goal was to revisit the entire new-customer-acquisition process at Nashua. The previous year Nashua spent several millions of dollars to distribute hundreds of millions of promotional mailers to 94 million households in the United States. Although the company was quite profitable, he wondered whether they were spending too much (or too little) on acquiring new customers.

The U.S. Photofinishing Industry

Americans love to take photos. In 1990, 92% of U.S. households owned at least one camera and purchased slightly over 600 million rolls of 35 millimeter film. On average, 62% of households either bought or processed film during that year. Involvement with photography increased with household income (43% of households with income less than \$12,000 either bought or purchased film in 1990, compared with 74% of households with income greater than \$50,000) and with the presence of young children (81% of households with at least one child aged two or under bought film, compared to 55% of households with no children). It was estimated that about 15 billion color photos were taken in 1990.

Amateur photographers tended to buy their film at a discount/department store and get it developed at the drug store (see **Exhibit 1**). Drug stores usually sent the exposed film to one of a few large wholesale photofinishing laboratories for processing. These wholesale labs were huge photofinishing factories, built to process large amounts of film quickly, professionally, and at low cost. Until the early 1980s, almost all film processing was accomplished by large labs. At that time, the minilab was introduced. Minilabs were small, stand-alone film-processing machines that, when placed in a photofinishing store or a large discount store, offered the consumer one-hour photofinishing. The on-site minilabs eliminated the delays associated with mailing film to and from the wholesale labs, but had two drawbacks: prices were higher and customers perceived them as producing lower-quality photos. See **Exhibit 2** for a perceptual map of the various photofinishing

This case was prepared by Professor Phillip E. Pfeifer as a basis for class discussion rather than to illustrate effective or ineffective handling of an administrative situation. Some elements of the case have been disguised. Copyright © 1994 by the University of Virginia Darden School Foundation, Charlottesville, VA. All rights reserved. *To order copies, send an e-mail to sales@dardenbusinesspublishing.com. No part of this publication may be reproduced, stored in a retrieval system, used in a spreadsheet, or transmitted in any form or by any means—electronic, mechanical, photocopying, recording, or otherwise—without the permission of the Darden School Foundation.* Rev. 4/95.

outlets. Minilab retail revenues had been growing steadily in recent years, while wholesale lab revenue had been stagnant.

The growth of minilabs led to a consolidation of the many independent wholesale photofinishing labs. Industry giants Qualex (49% owned by Kodak), Fuji, and Konica bought most of the smaller independents and, in the face of an overall decline in the market, began aggressively pursuing volume. The three big wholesale labs began to lower prices and expanded into new channels such as grocery stores and wholesale clubs.

The other major outlet for photofinishing was mail order. Customers would place their exposed rolls of film in a preprinted mailing envelope or mailer, add the requisite amount of postage, stick it in the mail, and wait four to fourteen days for their developed photos to arrive by return mail. Approximately 7% of all rolls were developed via mail order in 1992. Mail order's share of total rolls processed had been declining steadily over the past few years, from 8.0% in 1988 to 6.8% in 1992.

A recent Agfa¹ survey of U.S. amateur photographers explored their attitudes toward photofinishing outlets, with particular emphasis on mail order. A full 45% of the sample had never used mail order, citing fear of loss (34%), slow speed (29%), and satisfaction with their current finisher (11%) as the top three reasons why they had not. Other survey results appear in **Exhibit 3**.

Company Background

Nashua Photo was a wholly owned subsidiary of the Nashua Corporation, one of the oldest companies in North America. The Nashua Corporation provided a diverse mix of products and services that were reflected in their four business groups: Coated Products (duct tape, labels, fax paper), Computer Products (disks, diskettes, toner cartridges), Office Supplies (toner supplies for photocopying machines, copy paper), and Photofinishing. See **Exhibits 4** and **5** for selected financial information.

Located in Nashua, New Hampshire, the company was recognized as one of the first *Fortune* 500 companies to implement the principles of total quality management. In the late 1970s, the company hired Dr. W. Edwards Deming to help bring continual quality improvements to the company's manufacturing and customer-service processes. Nashua Photo had the largest share of the mail-order photofinishing market in the three countries where it operated (United States, the United Kingdom, and Canada). With 4.2 million households sending film to them in 1992, its share of the U.S. mail-order market was 44%. Of these 4.2 million households, close to 2 million were new customers trying Nashua mail order for the first time. About 40% of those who tried Nashua came back to try them again as repeat customers, 80% of the repeat customers came back to use Nashua a

¹ Agfa, a division of Miles Laboratory, manufactured film and photographic paper in Germany.

third time, and about 90% survived with each subsequent order.² Nashua customers sent in 14.4 million rolls of film in 1992. **Exhibit 6** shows a five-year history of Nashua's U.S. sales volume.

Nashua Photo operated photofinishing plants in Canada, the United Kingdom, and the United States. Its Parkersburg, West Virginia, plant was one of the largest photofinishing labs in the world. This modern, efficient facility, with an annual capacity of 30 million rolls, kept Nashua's processing costs as low as any in the photofinishing industry.

In the United States, Nashua Photo primarily used the brand name York. In the United Kingdom, its brand names were York and Truprint. And in Canada, its brand names were York, Filmposte, and Scot. Nashua's multiple brand names were more a result of a series of past acquisitions than any conscious marketing strategy. For example, the Downeast brand, a 1988 acquisition, was kept because its accompanying higher price made it a profitable piece of their business. Nashua did not promote this brand heavily, choosing instead to serve mostly existing Downeast customers.

New Customer Acquisition

Bob Barton had been hired away from his position as director of Marketing at Colombo Yogurt to become director of New Customer Acquisition in November 1992. Barton liked to describe the marketing strategy at Nashua Photo as consisting of three parts: Get 'em, Keep 'em, and Grow 'em. Because the company had been spending the bulk of its marketing budget on the Get 'em function, Barton took improving the efficiency of this phase as his first challenge.

Get 'em

Nashua acquired new customers by putting a film-processing mailer in the hands of potential new customers and hoping they would use the mailer the next time they had film to develop. The company had several different mailers and several different means of getting them in the hands of potential customers. Some of the most-used mailers in 1992 were the following:

- Free mailer: featured an introductory offer of free processing of a 24-exposure roll of film (see **Exhibit 7**).
- 59-cent mailer: featured a 59-cent price to develop 35-millimeter color film up to 24 exposures (see **Exhibit 8**).
- 89-cent mailer: was the same as the 59-cent mailer, except that the featured price was 89 cents.

² Tests had shown that the repeat rate of newly acquired customers did *not* depend on the type of promotion to which the new customer responded.

- Take One: was used in racks in hotel lobbies and at tourist attractions. Because customers could take as many as they wanted, pricing was not always discounted. The mailer featured a discounted-film offer (see **Exhibit 9**).
- Military: featured a one-cent upgrade to super glossy prints and first class postage “for U.S. Military & Civilian Personnel Overseas” on the envelope (see **Exhibit 10**).

These promotional mailers were distributed to potential customers in the following ways:

- Co-op mailings: bulk-rate mailings to individual households consisting of a large envelope filled with coupons and promotional materials from a variety of marketers. Perhaps the best-known of these co-op marketers was Carol Wright.
- Newspaper inserts: mailers inserted in a newspaper.
- Magazine inserts: mailers inserted in a magazine.
- Package inserts: mailers included in the package of merchandise ordered from another company.
- Sampling packs: bundles of free sample goods and coupons. A good example was the take-home pack given to a family taking a newborn home from the hospital. These packs usually included sample formula, disposable diapers, baby toys, and plenty of coupons appropriate to families with babies.
- Take-one displays: displays, frequently in the lobbies of hotels or tourist attractions.

All told, Nashua spent \$6 million in 1992 on distributing several hundred million promotional mailers. These promotions were tailored to match the seasonality of photo-taking (more in June, fewer in February). Nashua devoted the remainder of its marketing budget to mailings to existing customers.

As might be expected, not all promotional mailers met with equal success. **Exhibit 11** is an example of the efficiency report that had been used prior to Barton’s arrival to rank promotions based on cost per customer. Barton’s primary concern was to evaluate the relative profitability of the past promotions, in order to decide which deserved to be used in future months.

At first Barton had thought that returning to a previous promotion could only lead to less success and lower profitability. But a recent test, known within the company as the frequency test, convinced him otherwise. In the frequency test, the same promotion (same mailer and same newspaper, in this case) was used every three months over a two-year period—eight times in total. Contrary to expectations, response rates to the promotion did not decline with repeated use. Barton took this result to mean that it would be appropriate and profitable to return to previously successful promotions.

Keep 'em

Once a customer ordered from Nashua, every effort was made to encourage that customer to reorder from Nashua the next time he or she had a roll of film that needed processing. Every new customer (someone who had never before ordered) received their finished photos in a “Welcome to York” package, which included a welcome letter, some coupons from other companies, and a couple of “bounce-back” mailers. Bounce-back mailers were the standard, nonpromotional, regular price (\$1.99 for a roll of 24-exposure 35-millimeter film) mailers sent along with every return mailing of finished photos. **Exhibit 12** shows a bounce-back mailer.

Newly acquired customers who had not responded to the Welcome to York package were sent as many as four more mailings over the course of two years. These mailings (at a cost of \$350 per thousand) were in plain manila envelopes and contained a label set (a package of peel-and-stick labels printed with the customer’s name and address for use when placing future orders), two or three bounce-back mailers, and inserts from other companies. Customers who had not ordered after receiving four of these additional mailings were considered lost.

Mailings of finished photos to existing customers included two bounce-back mailers and some inserts. If the customer had not ordered for a certain length of time, the four-mailing sequence would commence for them.

A survey of 400 customers who last used Nashua 13 months earlier suggested that many customers were lost simply because they took photos infrequently. Of the 400 customers, only 17 said they purposely left Nashua because of a bad experience or a mistake made by Nashua. About half said they simply had not finished a roll of film in the last year.

About three-quarters of all orders received by Nashua were in a bounce-back mailer. The remaining one quarter were received in one of the various types of promotional mailers. There appeared to be quite a desk drawer phenomenon, as evidenced by many orders received in very old promotional mailers. On average, 53% of redeemed promotional mailers were from existing customers.

The average gross margin for an order received in a bounce-back mailer was \$2.27. This number reflected the fact that most orders contained more than one roll of film (1.38 on average), as well as other sources of revenue (double prints and a \$0.25 rush option, for example). Average gross margins for each type of promotional mailer are listed in **Exhibit 13**.

Grow 'em

Grow 'em referred to promotional activities designed to increase sales per customer. Along these lines the company mailed a catalog of photo-related merchandise, sold its own private label film, and offered an extensive array of reprint, enlargement, and personalized apparel (shirts, aprons, etc., with the customer’s photo on them). Once Barton improved Get 'em and Keep 'em, he planned to turn his attention to Grow 'em.

The Competition

Nashua's biggest competitor in mail-order photofinishing was Clark. With a share of 34%, Clark's strategy was one virtually identical to York's—no frills and low price. **Exhibit 14** presents a competitive overview of the mail-order market.

Nashua Customers

Nashua commissioned a PRIZM³ study of its customer base in 1992. The study showed that customers spanned a wide array of demographic categories. The single highest PRIZM cluster for Nashua customers was "Shotguns and Pickups," with a score of 120. (The incidence of Nashua customers in the PRIZM cluster of Shotguns and Pickups was 20% higher than average.)

³ PRIZM, a product of Claritas, L.P., stands for Potential Ratings in Zoned Markets. PRIZM uses cluster analysis to classify neighborhoods based on census data, market geography, and media databases. PRIZM allows marketers to assign customers and prospects to neighborhood types based solely on their addresses.

Exhibit 1

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Percentage of Volume by Distribution Outlet

	Film Purchased	Film Processed	
Outlet	1990	1990	1989
Discount/Department stores	35%	18%	18%
Drug stores	25	25	23
Grocery stores	15	13	13
Camera stores	10	11	11
Minilabs	5	19	19
Mail order	4	9	11
Other	6%	5%	5%
Total rolls (in millions)	759	698	690

Source: Agfa 1990 Research Report.

Exhibit 2

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Perceptual Map of Photofinishing Outlets



Source: Agfa Photofinishing Research

Exhibit 3

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Agfa Survey Results
(1,236 respondents)

Factor used in deciding photo outlet	Number of Mentions	Minilab	Camera Store	Mail Order
Picture quality	1,119	3.74	4.17	3.69
Good value for the price	897	3.05	3.24	4.06
Convenient to home and work	716	3.90	3.82	3.79
Speed of processing	667	4.47	3.93	2.61
Good customer service	623	3.85	4.28	3.32
Security that film is not lost	524	4.10	4.28	3.16
Added incentives (free film, prints, etc.)	378	N.A.	N.A.	3.26
Ease of ordering	372	N.A.	N.A.	3.91
Photo experts	340	N.A.	N.A.	3.17
Variety of services	288	N.A.	N.A.	3.52

Rating by outlet: 1 = poor, 5 = excellent. N.A. = not available.

Source: Company records.

Exhibit 4

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Condensed Consolidated Statement of Operations
(all figures in thousands of dollars)

	Year Ended	
	Dec. 31, 1992	Dec. 31, 1991
Net sales	552,479	526,112
Cost of products sold	421,440	409,016
Research, selling, distribution, and administrative expenses	118,850	112,551
Interest expense	2,690	1,744
Interest income	(953)	(650)
Income before income taxes and cumulative effect of accounting principle changes	10,452	3,451

Exhibit 5

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Sales and Income by Business Group
(all figures in thousands of dollars)

Year Ended		
	December 31, 1992	December 31, 1991
Net Sales		
Coated-Products Group	175,383	171,833
Computer-Products Group	107,211	85,652
Office-Supplies Group	107,975	106,007
Photofinishing Group (Worldwide)	161,910	162,620
TOTAL	552,479	526,112
Operating Income		
Coated-Products Group	4,390	5,739
Computer-Products Group	(7,523)	(23,079)
Office-Supplies Group	4,836	6,720
Photofinishing Group	17,793	19,490
Corporate Expenses Including Interest	(9,044)	(5,419)
TOTAL	10,452	3,451

Exhibit 6

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Nashua U.S. Photofinishing Sales History
(all figures in millions)

	1988	1989	1990	1991	1992
Number of orders processed	10.8	11.0	11.1	10.6	10.4
Number of rolls processed	15.1	15.4	15.5	14.9	14.4
Total revenue	60.5	65.9	68.9	69	67.7

Source: Company records.

Exhibit 8
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59-Cent Mailer

First & Last Name _____
City _____ State _____ Zip Code _____
Address _____

FILM DEVELOPING	Number of Exposures	Single Prints	Double Prints	Qty. Price Per Film	TOTAL \$
35mm	Up to 24	.69			2.90
	36	2.99			4.79
110/126 or DISC	Up to 24	.50			2.99
35mm	Up to 24	2.99			4.89
	36	4.69			6.89
110 or DISC	Up to 24	2.99			4.89
35mm	Up to 24	4.99			8.99
	36	7.99			12.90
Glossy Finish, add 1c per film					.01
35mm COLOR SLIDES					3.95
ORDER NEW FILM					
YORK Color Print Film	35mm 24 exp.	Speed	1 Film	3 Films	
	200	100 2.40 2.00 3.40	2.40 2.00 3.40	4.80 6.00 6.00	
Kodak VHS 35mm 24	200	2.40	3.95	7.90	
Shipping & Handling - Add 80c for each film sent for developing.					
EXPRESS SERVICE (check and box on front)					
SUBTOTAL					4.25
TOTAL \$					

SHIPPING LABEL

Please affix address label or print clearly.

FILM DEVELOPING

Color Print Film and Single Use Cameras

Choose -

• 3 1/2" Prints or 4" (37% bigger) or 5" x 7" (100% bigger)

• Single or Double prints.

Be sure to fill in the quantity of films you are enclosing.

ORDER FILM HERE

FREE FILM OFFER

I would like to take advantage of your Free Film Offer. I'll pay for two films and get the third film FREE.

YES ☐ NO ☐

COMPLETE YOUR ORDER

We want to serve you quickly. Please be sure to include the correct payment in each mailer you send.

YOUR YORK DEVELOPS KODAK FILM OR ANY BRAND

59¢

TO DEVELOP 35mm COLOR PRINT FILMS UP TO 24 EXPOSURES*

Limit 2 Rolls Per Customer

Offer applies to 3 1/2" single prints. See order form.

LOWEST PRICES EVER

This document is authorized for use only by Derrick Teo in BUSN 37802 93 (Summer 2025) Pricing Strategies at University of Chicago, 2025.

Exhibit 9

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Take-One Mailer

FREE FILM OFFER

BUY 2, GET 1 FREE.
Pay as low as \$4.40 for
3 York quality color films.

AND

Save money now on developing

YOUR **KODAK** FILM
OR ANY BRAND

ONLY 1¢

Per Film
Upgrade to
Super Glossy
Finish
See order form

Why pay more?

Compare prices below for glossy 3 1/2" prints from a 24 exp. film. Prices shown include developing, postage, shipping & handling. Savings on other sizes too.

York	Best Value!	TOTAL
York		\$3.23
Mystic	Mystic, CT	6.45
Seattle Film	Seattle, WA	7.60
Fotomat	Los Angeles, CA	8.72
1 Hour Lab	Nashua, NH	5.99

April 2, 1992 Survey

YORK - THE 35mm SPECIALISTS

We develop all brands of Color Print film,
35mm Black & White film, 35mm Slide film
and Single Use Cameras

Front

PLACE STAMPS HERE
Maximum of 5 stamps

Number of Films	1	2	3	4	5
Single Use Camera					
Single Use Camera with Flash					

FIRST CLASS MAIL

Use Our
EXPRESS SERVICE
for

- Special in-plant handling.
- Priority Rush Service.

See order form and check here for Express Service.

DEVELOPING		FILM DEVELOPING	Number of Exposures	Qty. Films	Price Per Film	SINGLE PRINTS	Qty. Films	Price Per Film	DOUBLE PRINTS	Qty. Films	Price Per Film	TOTAL \$
Choose -	3 1/2" PRINTS	35mm	Up to 24		1.95			2.95				
			36		2.95			4.75				
		110/126	Up to 24		1.95			2.95				
		DISC	15		1.95			2.95				
4" PRINTS	35mm	Up to 24		2.99			4.85					
		36		4.60			6.85					
	110	Up to 24		2.99			4.85					
	DISC	15		2.99			4.85					
5 x 7" PRINTS	35mm	Up to 24		4.99			8.99					
		36		7.99			12.99					
Glossy Finish, add 1¢ per film				Qty.				.01				
35mm COLOR SLIDES				Qty.				3.95				
Black & White in all 3 print sizes				Qty.				+1.50 per film				
Add \$1.50 per film to above prices												
ORDER NEW FILM				Speed	1 Film	3 Films						
FREE FILM	YORK Color Print Film	110-24	200	2.20	4.40							
		35 mm	100	2.40	4.80							
		24 Exp.	200	2.90	5.80							
			400	3.40	6.80							
Kodak VR 35mm-24 110-24 200 Speed					3.45	6.90						
SHIPPING & HANDLING - Add 75¢ for each film sent for developing.				QTY.				.75 Each				
EXPRESS SERVICE (check red box on front)												+25
22446												
SUBTOTAL												
WV & CA. res. must add Sales Tax												
Please make check or M.O. payable to York Photo Labs												
TOTAL \$												

MONEY BACK GUARANTEE

Your satisfaction is 100% guaranteed. If you're not pleased, return your photos and get a full refund, a FREE film and FREE developing coupon.

Back

Exhibit 11

NASHUA PHOTO

1993 First Quarter Efficiency Report

Promotion	Media Type ¹	Mailer Type	59 (%)	Circ. ²	CPM (\$) ³	Total Resp.	New Customers	Total Cost (\$) ⁴	Resp. (%)	Cost per Resp. (\$)
Agfa-Showtime	p	FREE		336	0.00	14,196	6,678	3,286	4.23	0.23
AMA Free Dev Offer	t	FREE		5	0.00	211	99	49	4.22	0.23
Corpus Christi Caller	n	59		81	20.78	3,044	852	2,475	3.76	0.81
Camden Courier-Post	n	59		318	12.36	8,030	2,248	7,042	2.53	0.88
Action Arena	t	TO		6	38.50	315	123	290	5.25	0.92
The Times Herald	n	59		72	34.96	3,157	990	3,221	4.38	1.02
Coachman Deluxe	t	59		10	0.00	93	52	98	0.93	1.05
Parents	m	59/89	88.89	315	16.50	7,518	4,042	8,278	2.39	1.10
Freedom Press	n	59		40	19.64	1,017	399	1,177	2.54	1.16
Advantage Promotions	c	59/89	88.51	435	16.50	9,861	5,301	11,432	2.27	1.16
Bonnie Walton	t	89		6	0.00	47	22	59	0.78	1.25
Baby's First Foto	p	59/89	66.67	132	37.40	4,972	2,784	6,228	3.77	1.25
Lansing Journal	n	59		20	16.50	401	189	526	2.01	1.31
Pittstown Press	n	59		72	21.98	1,702	705	2,287	2.36	1.34
Wheeling Reader	n	59		390	34.50	12,498	3,079	17,268	3.20	1.38
Christian Books	p	59		100	24.20	2,418	1,083	3,398	2.42	1.41
Winn Dixie	n	59		1,624	28.05	42,752	20,110	61,436	2.63	1.44
Specialized Products	p	59/89	63.88	526	22.00	11,228	5,030	16,716	2.13	1.49
New Haven Journal	n	59		158	21.98	3,369	1,509	5,018	2.13	1.49
Bangor News	n	59		40	18.98	767	301	1,150	1.92	1.50
New Baby Basket	s	59/89	66.67	3,552	14.30	57,010	29,371	85,532	1.61	1.50
Cold River Herald News	n	59		120	21.98	2,537	994	3,811	2.11	1.50
Rotland Planet	n	59		56	21.98	1,164	587	1,778	2.08	1.53
Hartford Courant	n	59		80	21.98	1,634	769	2,541	2.04	1.55
Beaumont Enterprise	n	59		84	34.98	2,361	926	3,760	2.81	1.59

Exhibit 11 (continued)

Promotion	Media Type ¹	Mailer Type	59 (%)	Circ. ²	CPM (\$) ³	Total Resp.	New Customers	Total Cost (\$) ⁴	Resp. (%)	Cost per Resp. (\$) ⁵
Lowell Patriot Alt Del	n	59		58	10.99	749	311	1,205	1.29	1.61
Allentown Morning Call	n	59		60	22.00	1,151	541	1,907	1.92	1.66
Fort Meyers News	n	59		23	22.00	441	163	731	1.92	1.66
Superworks	c	59		120	16.50	1,893	891	3,154	1.58	1.67
Marlboro Sales	p	59		140	18.26	2,347	1,104	3,926	1.68	1.67
Winchester Telegram	n	59		396	25.16	8,230	3,042	13,835	2.08	1.68
Value Coups	c	59		1,070	6.60	10,189	4,793	17,527	0.95	1.72
Dixie Shopper	c	59/89	72.75	2,477	14.55	34,966	17,623	60,273	1.41	1.72
Fairbridge Times	n	59		52	36.30	1,378	386	2,396	2.65	1.74
Mail Network	c	59		400	16.50	5,954	3,001	10,512	1.49	1.77
World Book	p	59/89	45.45	220	30.80	4,959	1,389	8,928	2.25	1.80
Grolier Intros	p	59/89	56.64	3,955	13.20	49,798	22,310	90,886	1.26	1.83
Just for Mothers	s	59/89	66.67	3,000	27.50	61,020	30,754	111,840	2.03	1.83
Pick N' Save	n	59/89	64.29	28,000	11.55	322,616	151,759	597,240	1.15	1.85
Wal-Mart Shared Mail	n	59/89	74.17	6,040	20.50	98,761	48,669	182,915	1.64	1.85
Greatlakes Mail	c	59/89	66.67	432	38.50	11,210	5,022	20,857	2.59	1.86
Artistic Success	p	59/89	55.99	8,467	19.25	130,910	65,978	245,797	1.55	1.88
Southern Values	c	59/89	75.37	3,715	13.75	46,518	18,235	87,414	1.25	1.88
Family Value Pack	c	59/89	70.65	44,290	8.80	436,752	215,232	822,908	0.99	1.88
Lubbock Avalanche	n	59		328	19.64	5,117	2,178	9,648	1.56	1.89
JC Whitney Catalog	p	59		100	11.00	1,095	564	2,078	1.10	1.90
Family Mail Coupons	c	59/89	71.91	17,080	6.53	146,390	68,862	278,643	0.86	1.90
Petersburg Virginian	n	59		382	21.98	6,369	3,638	12,132	1.67	1.90
JC Penney Shared Mail	n	59/89	73.21	10,450	13.43	126,744	42,586	242,555	1.21	1.91
Macon Telegraph	n	59		130	21.98	2,144	961	4,129	1.65	1.93
Carol Wright Toys	p	59/89	84.36	3,516	16.50	47,417	19,650	92,400	1.35	1.95
Hanes Multis	p	59/89	66.67	1,200	26.40	22,032	10,364	43,416	1.84	1.97
Canton Repository	n	59		130	23.38	2,144	961	4,310	1.65	2.01

Exhibit 11 (continued)

Promotion	Media Type ¹	Mailer Type	59 (%)	Circ. ²	CPM (\$) ³	Total Resp.	New Customers	Total Cost (\$) ⁴	Resp. (%)	Cost per Resp. (\$) ⁵
Dollar Bill	n	59		100	25.30	1,739	974	3,508	1.74	2.02
Wonderful Visions	s	59/89	60.00	500	35.20	11,136	5,238	22,490	2.23	2.02
Good Housekeeping U.S.	m	MIL		4,140	9.06	38,295	18,014	78,014	0.93	2.04
Outdoors	m	59		200	5.50	1,497	704	3,056	0.75	2.04
National Network	c	59/89	85.53	760	13.20	8,440	4,537	17,465	1.11	2.07
Gift-Pax—prenatal	s	59/89	66.67	3,840	16.50	48,456	22,794	100,915	1.26	2.08
Keltar Records and Tapes	p	59/89	74.12	4,250	22.00	63,769	28,568	135,065	1.50	2.12
Adtel	c	59/89	79.32	46,682	8.80	404,237	203,735	867,352	0.87	2.15
Columbia House	p	59/89	65.71	875	44.00	21,644	9,212	47,058	2.47	2.17
New Parenting	p	59/89	88.89	378	19.24	5,021	2,531	10,969	1.33	2.18
Baby Moments	p	59		2,536	20.61	35,029	19,616	77,079	1.38	2.20
Holden Tucker	c	59		250	0.00	1,085	729	2,445	0.43	2.25
Blacksburg Hokie	n	59		164	21.98	2,295	1,208	5,208	1.40	2.27
MT Hispanic	c	59		73,000	12.11	696,150	325,442	1,598,043	0.95	2.30
Baby Bunting	s	59		25	22.00	345	162	795	1.38	2.30
Nostalgia Thoughts	c	59/89	80.00	1,000	33.00	18,461	9,304	42,780	1.85	2.32
Middlebury News	n	59		194	21.98	2,645	1,244	6,161	1.36	2.33
Safari Coupons	c	59		50	14.10	512	241	1,194	1.02	2.33
Good Housekeeping Overseas	m	MIL		628	9.06	5,032	2,818	11,834	0.80	2.35
Military Life	m	MIL		300	14.30	3,064	1,887	7,224	1.02	2.36
Miles Kimball	p	59/89	57.14	525	19.80	6,534	3,367	15,530	1.24	2.38
Family Coupons	c	59/89	50.00	564	41.25	12,064	6,215	28,781	2.14	2.39
Newsweek	p	59/89	73.31	19,670	18.15	225,262	121,101	549,383	1.15	2.44
Carol Wright PIP	p	59/89	85.71	3,500	16.50	37,675	14,347	91,980	1.08	2.44
Daily Mason	n	59		36	21.98	465	182	1,143	1.29	2.46
Lowell Patriot	n	59		228	21.98	2,945	1,221	7,241	1.29	2.46
Dollar Bill Store	n	59		100	33.00	1,739	974	4,278	1.74	2.46
Frank's Discount Store	n	59		50	33.00	869	438	2,139	1.74	2.46

Exhibit 11 (continued)

Promotion	Media Type ¹	Mailer Type	59 (%)	Circ. ²	CPM (\$) ³	Total Resp.	New Customers	Total Cost (\$) ⁴	Resp. (%)	Cost per Resp. (\$) ⁵
World Kid clubs	p	59/89	42.86	70	30.80	1,144	384	2,841	1.63	2.48
Home Shopping Network	p	59		200	24.20	2,734	1,286	6,796	1.37	2.49
Family Savings	c	59/89	50.00	220	17.09	2,340	917	5,912	1.06	2.53
Family Records	p	59/89	64.46	2,195	30.80	35,036	12,949	89,073	1.60	2.54
Cosmetics Exchange	p	59/89	48.84	430	16.50	4,425	1,982	11,300	1.03	2.55
Mailshare	c	59		50	16.50	512	241	1,314	1.02	2.57
Mr. Media PIP	p	59		125	16.50	1,280	602	3,285	1.02	2.57
Telstar Mail Network	c	59		818	16.50	8,374	3,939	21,497	1.02	2.57
Coupon Express	c	59/89	63.01	73,000	14.85	698,004	304,888	1,797,990	0.96	2.58
Durham News	n	59		204	21.98	2,453	1,374	6,479	1.20	2.64
Country Living	m	59		280	10.00	2,096	986	5,538	0.75	2.64
Norwalk Bulletin	n	59		58	21.98	697	391	1,842	1.20	2.64
Scranton Times	n	59		58	21.98	697	266	1,842	1.20	2.64
Book of the Month	p	59/89	81.48	10,800	26.40	142,800	71,971	390,744	1.32	2.74
Judy Anderson	t	MIL		3,000	26.61	39,094	24,082	109,167	1.30	2.79
Cosmetics Plus	p	89		500	16.50	4,488	2,010	13,140	0.90	2.93
Great American Savings	c	59/89	43.48	11,500	14.58	95,225	57,933	280,083	0.83	2.94
Winston-Salem News	n	59		182	21.98	1,961	1,054	5,780	1.08	2.95
Money	m	59		400	12.94	2,994	1,408	9,086	0.75	3.03
Weedham News	n	59		98	21.95	1,003	506	3,109	1.02	3.10
Neighborhood Weeklies	n	59		60	21.95	614	289	1,904	1.02	3.10
Danville News	n	59		46	21.98	471	222	1,461	1.02	3.10
Buffalo News	n	59		276	21.98	2,826	1,424	8,765	1.02	3.10
Canterbury Repub.	n	59		80	21.98	819	413	2,541	1.02	3.10
Sun Group Papers	n	59		34	21.98	348	175	1,080	1.02	3.10
Home Shopping News	n	59		50	22.00	512	241	1,589	1.02	3.10
Consumer Reports	m	59		1,395	13.62	10,442	4,912	32,640	0.75	3.13
Wichita Eagle	n	59		236	22.21	2,363	1,112	7,549	1.00	3.19

Exhibit 11 (continued)

Promotion	Media Type ¹	Mailer Type	59 (%)	Circ. ²	CPM (\$) ³	Total Resp.	New Customers	Total Cost (\$) ⁴	Resp. (%)	Cost per Resp. (\$) ⁴
Middlesex Times	n	59		110	23.05	1,126	530	3,611	1.02	3.21
Overseas	m	MIL		330	43.01	5,049	3,110	17,421	1.53	3.45
Welcome Package	c	59		100	30.80	1,024	482	4,058	1.02	3.96
Value Portraits	p	59		25	33.00	256	120	1,070	1.02	4.18
Motown Records & Tapes	p	59/89	30.23	86	19.80	584	360	2,544	0.68	4.36
Gift Pack—new moms	s	89		25	27.50	203	96	932	0.81	4.59
True Grit	m	89		50	27.50	394	185	1,864	0.79	4.73
No Nonsense Direct	p	89		54	27.50	425	181	2,013	0.79	4.74
First Foto	p	89		300	41.25	3,188	1,785	15,309	1.06	4.80
RCA Compact Discs	p	89		500	44.00	5,381	2,531	26,890	1.08	5.00
Newborn Magazine	m	89		50	32.73	394	185	2,125	0.79	5.39
MPR Cable Program	p	89		1,000	37.77	7,875	3,704	47,554	0.79	6.04
Hertz Gift	p	89		25	27.50	144	68	932	0.58	6.47
Jen-Aire Gift	p	89		25	27.50	144	68	932	0.58	6.47
Camp Fire Girls	n	59		48	68.75	551	124	3,769	1.15	6.84

¹ Legend:

Co-op mailings	c
Sampling packs	s
Newspaper inserts	n
Take-one displays	t
Package inserts	p
Magazine inserts	m

² Circ. is the total number of mailers, in thousands.³ CPM is the cost per thousand for using this medium.⁴ Total cost = (\$9.78 + CPM) × Circ., where \$9.78 is the variable printing and production cost per thousand.

Exhibit 12

NASHUA PHOTO

Bounce-Back Mailer

[illegible]

Exhibit 13

NASHUA PHOTO

Gross Margins by Type of Mailer

Type of Promotional Mailer Used	Average Gross Margin per Order
Free	\$(1.75)
59 cent	0.97
89 cent	1.32
Take One	1.97
Military	1.87

Exhibit 14

NASHUA PHOTO

Mail-Order Photofinishing in 1993: Competitive Overview

Market Segment	Major Brands	Brand Position	Rolls (millions)	Market Share	Product	Average Price
Return Film	Seattle	Special-film retention: The serious amateur's brand	2.7	8.2%	Processing price includes replacement film. Premium packaging. Credit cards. Prepaid postage. All-in-one pricing.	\$10.10
	Skrudland	Special film	0.6	2.0%		
Premium	Mystic	Highest level of quality and convenience	2.0	6.0%	Premium packaging. Credit cards. Prepaid postage. All-in-one pricing.	\$7.69
	Vermont	High quality and fast service	0.2	0.4%		
No Frills	York	Lowest prices	14.4	44.0%	Basic packaging. Breakout pricing. No credit cards. Requires postage.	\$3.83
	Clark	Lowest prices	11.1	34.0%		